

OTHER TERMS AND CONDITIONS FORMING PART OF THE LOAN OFFER LETTER

1. RATE OF INTEREST

- a) The Rate of Interest applicable to the loan is subject to change and is variable in line with SUNDARAM HOME FINANCE LTD'S (SHFL) Prime Lending Rate (SH-PLR) which is determined based on market conditions.
- b) Our pricing strategy is currently market driven, besides taking into account other parameters such as profile of customers, credit history, location, nature of property and loan amount.
- c) As a result of the above variation, the term of repayment or EMI value or both are liable to vary from time to time.
- d) The rate of interest applicable at the time of final disbursement will be the rate at which the Equated Monthly Instalment will be calculated subject to points (a) and (b) above.
- e) Interest is calculated and payable at monthly rests.

2. SECURITY

The sanctioned loan will be secured by way of equitable mortgage of the property and any other security that may be stipulated by SHFL from time to time.

3. DISBURSEMENT OF LOAN

Disbursement of the sanctioned loan shall be subject to SHFL satisfying itself,

- a) Title to the property being clear, valid, free from encumbrances and marketable.
- b) All statutory approvals being available and construction of property is in accordance with approved plan.
- c) The borrower's own contribution being infused in respect of the property (Own contribution is the difference between the total cost of the property and loan amount). Borrowers are required to submit documentary proof evidencing the sources of own contribution.
- d) The loan will be disbursed either in instalments or in one lump sum as decided by SHFL based on the progress in construction / project
- e) Compliance of any other condition that SHFL may prescribe before disbursement of loan.
- f) If the loan continues to be in partly disbursed stage after 18 months from the date of previous disbursement, SHFL will freeze the loan at the level already disbursed and the Borrower shall commence EMI for the amount disbursed. On doing so, the EMI will be reworked based on the loan outstanding at the time of such freezing of the loan amount (to the extent of loan disbursed till then, as stated above), residual loan tenure, age of the borrower and ROI prevailing at that point of time in such manner and to such an extent as SHFL may, in its sole discretion, decide and the repayment will be made as per the revised terms notwithstanding anything stated in this agreement. SHFL at its discretion and depending on merits of the case may extend the period beyond 18 months or may choose to commence EMI for the disbursed portion without downsizing the loan.

4. REPAYMENT OF THE LOAN

The loan is repayable in Equated Monthly Instalments every month and is detailed as under:

- a) If the loan is disbursed in one lumpsum, the date of commencement of EMI shall be the first day of the month following the month in which the disbursement of the loan is made. Additionally, PEMI (Pre-EMI Interest) is payable for the broken period from the date of disbursement till the end month.
- b) If the loan is disbursed in one lumpsum on the 1st, 2nd, or 3rd of a month, the EMI shall commence from the same month and the first EMI is payable during the same month.
- c) If the loan is disbursed in instalments, interest is payable every month on the amounts cumulatively disbursed from the date of disbursement till the commencement of EMI. The date of commencement of EMI shall be the first day of the month following the month in which the final disbursement is made.
- d) Alternately, if the loan is disbursed in instalments, borrowers can opt to pay EMI for the disbursed amount(s). In such cases, the date of commencement of EMI shall be the first day of the month following the month in which the first disbursement of the loan is made. The EMIs shall vary based on the amounts cumulatively disbursed. Additionally, PEMI is payable for the broken period from the date of disbursement(s) till the end of the month.
- e) The due date of payment is the last day of every month. Borrowers can opt to choose billing dates for payment of EMI / PEMI as 5th, 10th, or 15th of each month.
- f) EMI is payable through electronic modes such as E-NACH/NACH.
- g) Penal Interest @ 24% per annum is payable for any delay in payment of EMI/PEMI. It is calculated for the period for which the EMI / PEMI remains overdue.

5. MODE OF REPAYMENT

Repayment of PEMI / EMI shall be as under:-

- a) In case of PEMI, a minimum of 6 Post Dated Cheques (PDCs) to be given upfront and replenished subsequently.
- b) In case of EMI, mode of payment will be E-NACH (Electronic National Automated Clearing House) / NACH (National Automated Clearing House) and 6 reserve cheques towards the EMI amount.
- c) In case of NRI, E-NACH/NACH should be provided from NRE/NRO A/c. Alternatively, as permitted by the Reserve Bank of India, the dues may also be paid by certain close relatives of the borrower in India through the bank account of such relative. (The list of such close relatives can be obtained from the branch).

6. CHEQUE RETURN CHARGES

A sum of Rs.500/- GST will be charged in case of every instance of ECS or Cheque being dishonoured. These charges are variable depending upon changes in Bankers' rules.

S. Agasth
Due R
B. Ramakrishna
K.P. Gnanakumar

7. APPROPRIATION OF PAYMENTS

Any payment made for credit of the loan account of the borrower by the Borrower or any third party on behalf of the Borrower under this Loan Agreement will be appropriated towards the dues, generally in the following order, namely:

- a) Incurred expenses
- b) Additional interest for delayed payments
- c) PEMI/EMI arrears
- d) PEMI/EMI current dues
- e) Other incidental Charges i.e. (Cheque return charges, prepayment charges, etc)
- f) Advance EMI
- g) Prepayment

SHFL reserve the rights to change the order / proportion of appropriation for any remittance under intimation to the BORROWER

8. PREPAYMENT OPTIONS

The loan can be repaid either in part or in full anytime during the tenure of the loan. Part prepayments will be accepted subject to the condition that only THREE such part payments will be made in a financial year and that the amount prepaid each time will be equivalent to a minimum of 6 EMI's. If the amount prepaid is lesser than 6 EMIs, the amount shall be retained as EMIs received in advance.

Part prepayment will be given effect from the 1st day of the month in which the part prepayment is made irrespective of the date of payment. Consequently, Interest on part prepayments from the 1st day of the month till the date of part prepayment will be required to be paid by the customer.

i). Prepayment Charges for Housing Loans

In respect of Housing loans availed by Individuals under variable interest rate - No prepayment / foreclosure charges are applicable whether paid in full or part and paid from any source as currently mandated by the regulator.

In respect of Housing loans availed / converted to fixed interest rates by Individuals - No prepayment / foreclosure charges are applicable whether paid in full or part and paid from own sources as currently mandated by the regulator. Prepayment charges @ 2% shall be applicable if the loan is pre closed from other than own source.

In respect of loans availed by Non-Individuals, prepayment charges are applicable @ 2% whether paid in full or part and paid from any source.

ii). Pre-payment charges for Non-Housing Loans

In respect of Non-Housing loans availed by Individuals for purposes other than business - No prepayment / foreclosure charges are applicable whether paid in full or part and paid from any source as currently mandated by the regulator

In respect of Non-Housing loans availed by Individuals for business purposes, prepayment charges @ 2% shall be applicable if the loan is paid in part or full and paid out of any source.

In respect of Non-Housing loans availed by Non-Individuals, prepayment charges @ 2% shall be applicable if the loan is paid in part or full and paid out of any source.

Non individuals may be Proprietorships, Partnership Firms, Private or Public Ltd Companies, Trusts, Societies, etc.

Necessary documentary proof to the satisfaction of SHFL should be furnished if a loan is sought to be prepaid out of own funds. The charges indicated above may undergo changes due to market conditions.

Own Source : "own source" for this purpose means any source other than borrowing from a Bank/HFC/NBFC or Financial Institution.

Business Purpose : The loan availed for the following purposes/usage will be treated as Business purpose.

1. Deployment of funds in business/Working capital
2. Debt consolidation
3. Acquisition/Mortgage of commercial property
4. Lease Rental Discounting loan

SHFL retains the right to alter any charges or fees from time to time or to introduce any new charges or fees as it may deem appropriate prospectively. SHFL may choose to display information on the notice board / official website of the company, send SMS / letter to borrowers, newspaper publication or any other mode as it deems fit to intimate such changes. If such change is to the disadvantage of the customer, he/she may within 60 days and without notice close his / her account or switch it without having to pay any extra charges or interest.

9. INSURANCE

a) Life Insurance: SHFL has made arrangements with Insurance Companies to provide life cover as per the underwriting norms of the insurer. Borrower(s) may be required to undergo medical examination and acceptance of the proposal will be at the sole discretion of the Insurance Company and SHFL has no role in this regard.

The premium is fixed by the Insurance Company and is based on the loan amount, term, age and medical history of the insured. The premium can be paid as follows:-

- a) One time premium for the entire period of the loan
- b) Annual premium to be paid every year for a specified number of years as determined by the insurer. (This will be allowed only in cases where the Insurance Company is not allowed to collect the full premium upfront for the entire term of the loan.)

In either of the cases, premium is payable by the borrower before commencement of risk. SHFL is not responsible for any lapse in this regard.

S. Rajadatta
K.P. Sundar
H.R.
S. Ramesh

b) Personal Accident Insurance: SHFL has made arrangements with Insurance Companies to cover the risk against accidents. If life cover is not opted, borrowers can opt for Personal Accident cover. The premium is based on the loan amount and the coverage is for a period of 5 years and renewable thereafter on payment of renewal premium as advised by the Insurance Company. Along with Personal Accident, borrowers can also opt for additional cover for Critical Illness, EMI Protection and Hospital Cash. The maximum coverage period is 5 years and premium for each of these additional covers is based on the coverage amount and tenure. On expiry of the term, policies can be renewed on payment of renewal premium as advised by the Insurance Company. SHFL is not responsible for any lapse in this regard.

c) Property Insurance: Premium is payable for a period of 10 years at the time of first disbursement and renewable thereafter on payment of renewal premium as advised by the Insurance Company. The premium is based on the value of building and usage of the property and the risks covered include fire, floods and earthquake (In case of plot loans property insurance is not applicable)

Borrower shall ensure to pay the renewal premium on time and as and when it falls due and keep alive the Insurance policy assigned to us during the pendency of the loan. In the event, borrower fails to pay the renewal premium, SHFL shall have the option to renew the policy and recover the same from the customer.

d) While the company has arrangement with Insurance companies, the Borrower is free to choose an insurance company of his/her choice.

10. SPECIAL CONDITIONS

a) As required under section 194-IA, of the Income Tax Act, from first June 2013, the purchaser/transferee/buyer of property is required to deduct tax at source of 1% (higher rate in case PAN is not available) on behalf of the vendor/transferor/seller on the consideration (if it is Rs.50 lakhs or more) for the transfer of the property. In view of the same, necessary evidence of having deducted the same and remitted to the government authorities should be produced to SHFL.

b) For the purpose of KYC verification, original Identity and Address Proofs should be shown for verification before availing the loan.

11. CONVERSION OF A LAND LOAN TO A NON HOUSING LOAN

Where the borrower has availed a land loan, it is mandatory to complete construction of a residential dwelling unit within a period of three years from the date of disbursement of the land loan, failing which, the land loan will be converted to a non-housing loan and will attract the rate, term and other charges as applicable to a non-housing loan.

12. Others

Loans granted under any special scheme announced by the Regulator / Government etc. involving any benefit is subject to audit by the Regulator / Government as to the eligibility under the scheme and if at a later date, it is found that the loans do not meet the specified criteria of the scheme, the benefits/subsidy already passed on to the customers will be recalled and refunded to the Government/Regulator.

13. CONVERSION FROM VARIABLE RATE TO FIXED RATE

The conversion of an existing loan from Variable Rate of Interest to Fixed Rate of Interest is not permissible except under special schemes of the regulator.

14. REFUND OF PROCESSING FEE IF THE LOAN IS NOT SANCTIONED

Minimum upfront processing fee (inclusive of GST) paid for housing and non-housing loans is non-refundable. Of the balance processing fee, only 75% (excluding GST already paid) is refundable in case the loan is not availed by the borrower for reasons whatsoever. In case of rejection by SHFL, the balance amount (excluding minimum upfront fee and GST already paid) would be refunded in full.

15. VALIDITY OF THE LOAN

a) The offer is valid for a period of 3 months after which SHFL reserves the right to reappraise the loan afresh. The rate of interest specified in this letter is subject to change at the time of disbursement based on prevailing market conditions and SH-PLR.

b) The loan shall be governed by the rules, policies of SHFL which are in force from time to time and the loan terms may vary accordingly.

c) SHFL will not be held responsible for any loss / cost incurred due to cancellation of the loan offer.

16. LOAN AGREEMENT

The loan agreement and such other documents as prescribed by SHFL should be executed before the disbursement of the loan. This agreement supersedes all our previous oral or written communication made on this subject.

17. DOCTRINE OF CAVEAT EMPTOR

While SHFL will take reasonable steps in due diligence with regard to title and value of the property, borrower(s) are also advised, in their own interest, to exercise due care and caution in satisfying themselves in respect of the same. SHFL satisfying itself of the title should not be construed as any guarantee in this regard nor should it be considered as any waiver of SHFL's rights against the borrower.

18. CANCELLATION OF THE LOAN

The sanction of the loan is liable to be cancelled if any information furnished by the intending borrower(s) is found to be incorrect.

For **SUNDARAM HOME FINANCE LIMITED**

Authorized Signatory

I/We confirm acceptance of the Terms and Conditions forming part of the loan offer

Signature of the Borrower

Signature of the Co-Borrower(s)

Signature of the Guarantor

10/11/11

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